To: Relationship Manager
From: Mary Ojelabi
Subject: Early Warning Review
Date: 6 November 2022

EARLY WARNING REVIEW MEMORANDUM

This memo presents the findings of the early warning review conducted to assess the cafe's sales performance, evaluate compliance of the company against its financial covenants and examine potential borrower risk indicators in order to determine the cafe's ability to meet its financial and credit obligation.

1.CAFE SALES PERFORMANCE

The first part of the analysis examined whether the decline in the cafe's sales during the second half of the year (H2) reflected an actual reduction in business performance or was influenced by incomplete and inaccurate transaction records.

Data Quality Assessment & Impact

Of 10,000 transaction records reviewed, 1,398 were recovered during data cleaning, while 58 remained unrecoverable. Unrecoverable records represented 0.61% and 0.54%of H1 and H2 transactions. This reduction suggests that data quality issues did not materially account for the recorded 73% decline in revenue.

Weekly Revenue Anomaly

One significant weekly revenue anomaly was identified in the week beginning 26 December 2022, with a z-score of -6.19, indicating an unusually low revenue level.

2.FINANCIAL COVENANT ASSESSMENT

The review assessed the company's Net Profit Margin, Current Ratio and Interest Cover against the specified covenant thresholds. The initial SQL results indicated compliance, however, incomplete and missing interest expense records in 2019 and 2020 limit the reliability of the results.

Covenant	Threshold	2018	2019	2020
Net Profit Margin	≥10%	17.45%	22.87%	16.46%
Current Ratio	≥1.20	5.17	14.64	7.49
Interest Cover	≥2.0	49.07	70.5	*62.76*

Limitation: *Incomplete expense records overstates Net profit margin, while absence of recorded interest expense in 2019 and 2020 prevents reliable interest cover calculations.*

3.CREDIT RISK ASSESSMENT

Analysis of the 20,000 loan records examined repayment delays, credit scores and debt-to-income ratios as potential risk indicators. However, all records showed a default status of 1 (100%), making reliable default prediction and model validation impossible. The review was therefore limited to descriptive risk analysis.

4.OVERALL RISK ASSESSMENT

The 73% revenue decline is a significant warning sign which requires closer monitoring. However, incomplete financial records and the absence of a reliable default prediction limit the ability to assign a definitive watchlist status. Further financial validation is recommended before final classification.

5.RECOMMENDED ACTIONS - NEXT 30 DAYS

- Meet with the cafe owner to investigate the 0.73% revenue decline and assess its impact on the ₦20 million loan repayment capacity.
- Obtain complete financial statements and supporting expense records to verify covenant compliance and assess the cafe's financial position.
- Review the cafe's cash flow against its loan repayment schedule to determine whether it can meet upcoming repayments and identify any likely shortfall

6. MONITORING RULES

- **Normal - Relax**: Maintain routine monitoring where repayment performance is satisfactory and no major risk indicators are present.
- **Watch - Hold**: Maintain the existing credit exposure while increasing monitoring and following up on emerging risks.
- **Restructure - Tighten**: Intensify monitoring, restrict additional credit exposure and assess the need for loan restructuring.

Please implement the recommended actions within 30 days to address the identified risks and protect the bank's ₦20 million loan exposure.